

SMIC (0981)

Strong beat in 2Q GM and 3Q margin guidance; depreciation ramp a constraint to long-term GM upside; Raise PT to HK\$78

SMIC reported 2Q26 GM of 25.3%, beating JPMe and Bloomberg consensus by 3.6-4ppts. 3Q26 GM guidance of 26-28% also came in well above market expectations of ~22%. The primary margin driver is price hikes amid tight supply fueled by strong AI-adjacent demand. We believe this is a sustainable driver for both revenue and margins in the coming quarters. However, further margin upside could be capped by the rising depreciation burden, which is expected to outpace revenue growth in 2026-27 (JPMe: depreciation up ~30%/20% YoY in 2026/27 vs. rev growth 27%/16%). We maintain Neutral but raise our Jun-27 PT to HK\$78 (on unchanged ~2.8x P/B, avg FY27-28E BVPS). Key upside risks would be a stronger and more broad-based price hike if consumer demand recovers, or stronger leading edge growth driven by yield improvement.

- **Margin beat on price hikes; 3Q GM guidance well above expectations:** SMIC reported a strong 2Q GM of 25.3%, 3.6-4ppts above both the market and our estimates. The outperformance is mainly supported by a healthy pricing environment, with 1Q price-hike negotiations now reflected in financials. For 3Q, the company is guiding GM at 26-28%, significantly above the prior market and our expectations of ~22%. The key support remains robust pricing, as AI-peripheral demand continues to drive tight S/D (UTR at ~95% in 3Q and expected to sustain in coming quarters). We raise our FY26 GM forecast by ~2.8ppts to 24.4% (up 3.4ppts YoY).
- **Strong demand mainly concentrated in AI peripherals:** The 1H demand strength was primarily driven by AI-peripheral products (AI-related revenue up ~40% QoQ), such as power management ICs, which have created tight imbalances in 8" S/D and into 12". SMIC continues to expand 12" capacity (JPMe: ~40k 12" wfp added in 2026), which should support revenue growth as it gradually comes online, in our view, given AI-peripheral demand appears to be a sustainable multi-year driver. On the consumer side, while demand remains soft – with some inventory build in 1H due to early pull-in ahead of potential further memory price hikes in 2H – management indicated 2H demand should be relatively stable rather than a severe digestion, as consumer customers are seeking to secure capacity for 2027 under tight supply. All in all, we now expect revenue growth of 27% YoY in 2026, followed by low- to mid-teens annual growth in 2027-28.
- **Resilient pricing but depreciation constrains long-term margin upside:** While pricing should remain favorable in the coming quarters – with price hike negotiations continuing into 2H26 and potentially 2027 – we see several factors limiting further margin expansion, including raw material cost inflation (e.g., raw wafers) and the depreciation burden. Management guided depreciation up ~30% YoY in 2026 and continuing to grow in 2027 (JPMe: ~20% YoY) as new capacity comes online. Given depreciation growth is likely to outpace revenue growth in 2026-27 on our estimates, we see limited scope for further margin upside to drive the stock. We expect margin to stay at 24-26% range in 2026-28, still far below previous peak of 35-40% in 2022.

Neutral

0981.HK, 981 HK

Price (14 Aug 26): HK\$70.80

▲ **Price Target (Jun-27): HK\$78.00**
Prior (Jun-27): HK\$67.00

China

Technology and Telecoms

Gokul Hariharan AC

(852) 2800-8564

gokul.hariharan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Jennifer Hsieh

(886-2) 2725-9868

jennifer.hsieh@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

David Chou

(886-2) 2725-9618

david.chou@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Jason Chen

(886-2) 2725-9864

jason.bh.chen@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Subham Singhania

(91-22) 6157-3801

subham.singhania@jpmorgan.com

J.P. Morgan India Private Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. net income - 26E (\$ mn)	1,091	1,545	41.5%
Adj. net income - 27E (\$ mn)	1,157	1,561	34.9%

Quarterly Forecasts (FYE Dec)

Adj. net income (\$ mn)	2025A	2026E	2027E
Q1	188	197A	291
Q2	132	479A	368
Q3	192	439	444
Q4	173	429	458
FY	685	1,545	1,561

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	96	92	90	71	77
Growth	52	59	55	81	92
Momentum	13	14	14	18	9
Quality	85	86	85	77	87
Low Vol	91	95	92	59	95

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



Company Data

Shares O/S (mn)	7,939
52-week range (HK\$)	93.50-49.32
Market cap (\$ mn)	71,629
Exchange rate	7.85
Free float (%)	76.0%
3M ADV (mn)	138.35
3M ADV (\$ mn)	1,354.5
Volatility (90 Day)	72
Index	HSI
BBG ANR (Buy Hold Sell)	27 4 2

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	9,327	11,857	13,725	15,415
Adj. EBIT	1,110	1,834	2,054	2,554
Adj. EBITDA	4,920	6,727	7,875	8,509
Adj. net income	685	1,545	1,561	1,998
Adj. EPS	0.09	0.19	0.19	0.25
BBG EPS	0.09	0.15	0.20	0.26
Cashflow from operations	1,794	6,444	7,536	8,238
FCFF	(5,503)	(2,560)	536	1,238
Margins and Growth				
Revenue Growth Y/Y (%)	16.2%	27.1%	15.8%	12.3%
EBIT margin	11.9%	15.5%	15.0%	16.6%
EBIT Growth Y/Y (%)	134.2%	65.3%	12.0%	24.3%
EBITDA margin	52.8%	56.7%	57.4%	55.2%
EBITDA Growth Y/Y (%)	33.1%	36.7%	17.1%	8.1%
Net margin	7.3%	13.0%	11.4%	13.0%
Adj. EPS growth	38.4%	123.9%	1.1%	28.0%
Ratios				
Adj. tax rate	7.9%	9.8%	10.0%	10.0%
Interest cover	NM	327.3	NM	NM
Net debt/Equity	0.2	0.2	0.2	0.2
Net debt/EBITDA	1.4	1.2	1.0	0.8
ROE	3.3%	6.5%	5.8%	7.0%
Valuation				
FCFF yield	(7.6%)	(3.5%)	0.7%	1.7%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	9.9	7.8	6.7	5.9
EV/EBITDA	18.7	13.7	11.7	10.8
Adj. P/E	105.5	47.1	46.6	36.4

Summary Investment Thesis and Valuation

We rate the stock N given the favorable pricing environment amid tight supply fueled by strong AI-adjacent demand, for which SMIC is also expanding its 12" capacity. We believe AI-peripheral demand appears to be a sustainable driver for both revenue and margins in the coming quarters. However, we believe further margin upside could be capped by the rising depreciation burden, which is expected to outpace revenue growth in 2026/27. On the consumer side, while demand remains soft, 2H demand should be relatively stable rather than a severe digestion, as consumer customers are seeking to secure capacity for 2027 under tight supply.

Our Jun-27 PT of HK\$78 is based on ~2.8x Price/Book (average of FY27-28E BVPS). This multiple reflects our concerns about lack of margin upside given a rising depreciation burden.

Performance Drivers

Market	25%
Region	2%
Macro	3%
Style	34%
Idiosyn.	36%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.52	0.50
Region: China	-0.22	0.18
Macro:		
JPM Global Equity Sentiment	0.33	0.22
Citi Economic Surprise - EM	-0.23	-0.19
Generic 1st 'CO' Future	-0.22	-0.18
Quant Styles:		
Growth	0.50	0.50
DivYld	-0.48	-0.50
Momentum	0.53	0.48

Earnings review and guidance

Table 1: SMIC – 2Q26 results snapshot

US\$ million	2Q26			Variance		Growth	
	Actual	JPM	BBG	vs. JPM	vs. Consensus	Q/Q	Y/Y
Revenues	3,005.6	2,875.9	2,858.0	5%	5%	20%	36%
Gross profit	760.6	624.4	610.2	22%	25%	51%	69%
GM (%)	25.3%	21.7%	21.4%	360 bps	396 bps	521 bps	495 bps
Reported Operating profit	534.2	353.2	332.7	51%	61%	116%	255%
Reported OPM (%)	17.8%	12.3%	11.6%	549 bps	613 bps	788 bps	1095 bps
Adjusted Operating profit	434.2	253.2	N.A.	71%	N.A.	194%	757%
Adjusted OPM (%)	14.4%	8.8%	N.A.	564 bps	N.A.	855 bps	1215 bps
Net profit	479.2	264.1	256.7	81%	87%	143%	262%
EPS (US¢)	5.98	3.30	3.21	81%	87%	143%	262%

Note: Adjusted operating profits exclude R&D funding and other operating income/expenses.

Source: SMIC Quarterly Report, 2Q26, Bloomberg Finance L.P. as of Aug 13, 2026, J.P. Morgan estimates.

Table 2: SMIC – 3Q26 guidance vs. JPM/consensus

	Guidance	JPM	Consensus
Revenues (\$mn)	\$3066mn - \$3126mn (up 2-4%)	3109.8	3087.0
Gross margin (GM)	26-28%	26%	23.5%

Source: SMIC Quarterly Report, 2Q26, Bloomberg Finance L.P. as of Aug 15, 2026, J.P. Morgan estimates.

Forecast changes

Table 3: SMIC: Quarterly estimate revisions

US\$ million	Revised			Prior			Change (%)		
	3Q26E	4Q26E	1Q27E	3Q26E	4Q26E	1Q27E	3Q26E	4Q26E	1Q27E
Revenues	3,109.8	3,236.1	3,091.5	3,034.0	3,170.4	2,996.6	2%	2%	3%
Gross profit	809.4	815.2	691.3	673.5	702.6	596.7	20%	16%	16%
GM (%)	26.0%	25.2%	22.4%	22.2%	22.2%	19.9%	383bps	303bps	245bps
Operating profit	531.3	520.9	409.4	405.2	416.8	327.1	31%	25%	25%
OPM (%)	17.1%	16.1%	13.2%	13.4%	13.1%	10.9%	373bps	295bps	233bps
Non GAAP OP Profit	431.3	420.9	309.4	305.2	316.8	227.1	41%	33%	36%
Non GAAP OPM (%)	13.9%	13.0%	10.0%	10.1%	10.0%	7.6%	381bps	301bps	243bps
Non GAAP EBITDA	1,697.0	1,748.3	1,737.3	1,576.5	1,658.1	1,681.8	8%	5%	3%
Non GAAP EBITDA Margin	54.6%	54.0%	56.2%	52.0%	52.3%	56.1%	261bps	173bps	8bps
Net profit	439.1	428.8	291.4	316.5	313.3	220.4	39%	37%	32%
EPS (US¢)	5.44	5.32	3.61	3.95	3.91	2.75	38%	36%	31%
Operating Assumptions									
Capacity ('000 wafers, 12" equ)	1,490	1,532	1,547	1,490	1,532	1,547	0%	0%	0%
Shipment ('000 wafers, 12" equ)	1,296	1,334	1,260	1,252	1,293	1,226	3%	3%	3%
Shipment utilization (%)	87%	87%	81%	84%	84%	79%	293bps	268bps	220bps
Wafer ASP (US\$)	2,244	2,269	2,294	2,265	2,293	2,285	-1%	-1%	0%

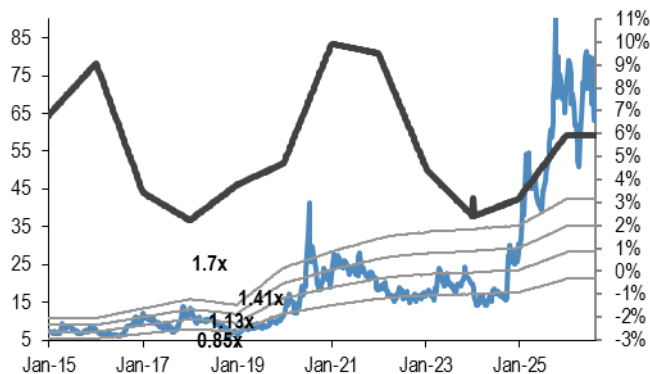
Source: J.P. Morgan estimates.

Table 4: SMIC: Annual estimate revisions

US\$ million	Revised			Prior			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues	11,857	13,725	15,415	11,586	13,158	14,821	2%	4%	4%
Gross profit	2,889	3,379	4,080	2,504	2,806	3,664	15%	20%	11%
<i>GM (%)</i>	<i>24.4%</i>	<i>24.6%</i>	<i>26.5%</i>	<i>21.6%</i>	<i>21.3%</i>	<i>24.7%</i>	<i>275bps</i>	<i>330bps</i>	<i>175bps</i>
Operating profit	1,834	2,054	2,554	1,423	1,556	2,216	29%	32%	15%
<i>OPM (%)</i>	<i>15.5%</i>	<i>15.0%</i>	<i>16.6%</i>	<i>12.3%</i>	<i>11.8%</i>	<i>14.9%</i>	<i>319bps</i>	<i>315bps</i>	<i>162bps</i>
Non GAAP OP Profit	1,434	1,654	2,154	1,023	1,156	1,816	40%	43%	19%
<i>Non GAAP OPM (%)</i>	<i>12.1%</i>	<i>12.1%</i>	<i>14.0%</i>	<i>8.8%</i>	<i>8.8%</i>	<i>12.2%</i>	<i>327bps</i>	<i>327bps</i>	<i>172bps</i>
Non GAAP EBITDA	6,327	7,475	8,109	5,959	7,018	7,793	6%	7%	4%
<i>Non GAAP EBITDA Margin</i>	<i>53.4%</i>	<i>54.5%</i>	<i>52.6%</i>	<i>51.4%</i>	<i>53.3%</i>	<i>52.6%</i>	<i>193bps</i>	<i>113bps</i>	<i>3bps</i>
Net profit	1,545	1,561	1,998	1,091	1,157	1,793	42%	35%	11%
EPS (US¢)	19.14	19.35	24.77	13.63	14.45	22.39	40%	34%	11%
Operating Assumptions									
Capacity ('000 wafers, 12" equ)	5,928	6,456	6,999	5,928	6,456	6,999	0%	0%	0%
Shipment ('000 wafers, 12" equ)	5,021	5,515	5,995	4,868	5,310	5,792	3%	4%	4%
Shipment utilization (%)	85%	85%	86%	82%	82%	83%	258bps	316bps	290bps
Wafer ASP (US\$)	2,217	2,327	2,404	2,228	2,317	2,393	0%	0%	0%

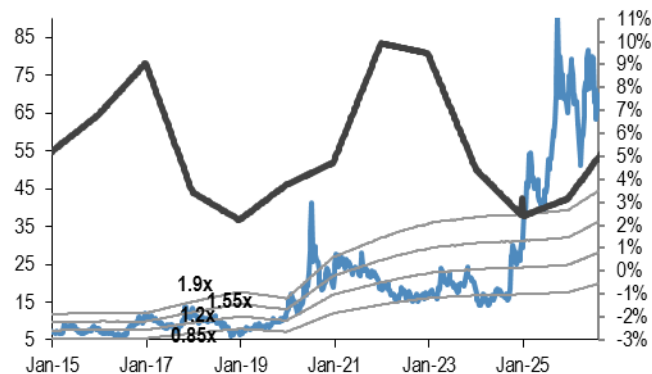
Source: J.P. Morgan estimates

Figure 1: SMIC – 12-month forward P/B bands (HK\$, x)



Source: Bloomberg Finance L.P. as of Aug 13, 2026 and J.P. Morgan calculations.

Figure 2: SMIC – Trailing P/B bands (HK\$, x)



Source: Bloomberg Finance L.P. as of Aug 13, 2026 and J.P. Morgan calculations.

Table 5: SMIC – Earnings model

US\$ in millions, Year-end Dec	FY25				FY26E				FY27E				FY28E				FY25	FY26E	FY27E	FY28E
	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Sales	2,247.2	2,209.1	2,381.8	2,488.7	2,505.5	3,005.6	3,109.8	3,236.1	3,091.5	3,369.9	3,547.0	3,716.6	3,540.6	3,826.7	3,958.5	4,089.7	9,327	11,857	13,725	15,415
COGS	1,741.3	1,759.3	1,859.0	2,010.6	2,001.9	2,244.9	2,300.4	2,421.0	2,400.2	2,554.4	2,631.8	2,759.4	2,694.4	2,810.5	2,881.9	2,948.2	7,370	8,968	10,346	11,335
Depreciation&amortization	865.6	878.8	995.9	1,069.8	1,088.1	1,211.7	1,265.7	1,327.3	1,427.9	1,462.6	1,446.5	1,483.9	1,521.9	1,485.4	1,460.7	1,487.0	3,810.0	4,892.9	5,821.0	5,955.0
Gross profit	505.9	449.8	522.8	478.1	503.6	760.6	809.4	815.2	691.3	815.6	915.1	957.2	846.1	1,016.2	1,076.5	1,141.4	1,956.6	2,888.8	3,379.2	4,080.2
Operating expense	196.3	299.1	171.7	179.5	255.8	226.5	278.0	294.2	281.9	334.9	337.6	370.6	358.0	373.6	382.7	411.7	846.7	1,064.5	1,325.0	1,526.0
SG&A	160.7	201.8	52.9	153.8	127.9	134.0	180.4	187.7	185.5	202.2	209.3	215.6	212.4	225.8	225.6	233.1	569.2	630.0	812.5	897.0
R&D	148.9	181.9	203.1	239.7	187.1	208.5	217.7	226.5	216.4	252.7	248.3	275.0	265.5	267.9	277.1	298.5	773.6	839.8	992.5	1,109.0
Operating profit (EBIT)	309.6	150.7	351.1	298.6	247.8	534.2	531.3	520.9	409.4	480.6	577.6	586.6	488.1	642.5	693.8	729.8	1,109.9	1,834.2	2,054.2	2,554.2
Recurring operating profit* (ex-licensing)	309.6	150.7	351.1	298.6	247.8	534.2	531.3	520.9	409.4	480.6	577.6	586.6	488.1	642.5	693.8	729.8	1,109.9	1,834.2	2,054.2	2,554.2
Net Interest Income (expense)	45.4	10.2	2.1	-32.7	-24.0	-23.0	14.4	12.1	-5.5	5.1	13.6	18.9	2.4	14.8	26.6	34.7	-771.2	-773.5	-876.0	-967.1
Net other Income (expense)	-5.7	-0.5	-16.1	-39.4	31.5	298.9	31.1	32.4	30.9	33.7	35.5	37.2	35.4	38.3	39.6	40.9	734.5	1,146.9	1,045.4	1,199.7
Pre-tax profit	349.3	160.4	337.1	226.5	255.3	810.1	576.8	565.4	434.9	519.5	626.6	642.7	525.9	695.6	760.0	805.4	1,073.3	2,207.6	2,223.6	2,786.9
Tax credit (expense)	-25.9	-13.7	-21.6	-23.1	-24.4	-76.9	-57.7	-56.5	-43.5	-51.9	-62.7	-64.3	-52.6	-69.6	-76.0	-80.5	-84.3	-215.5	-222.4	-278.7
Extraordinaries & Minority interest	-135.4	-14.2	-123.7	-30.5	-33.5	-254.0	-80.0	-80.0	-100.0	-100.0	-120.0	-120.0	-120.0	-120.0	-130.0	-140.0	-303.8	-447.5	-440.0	-510.0
Net profit	188.0	132.5	191.8	172.9	197.4	479.2	439.1	428.8	291.4	367.5	443.9	458.4	353.3	506.0	554.0	584.9	685.1	1,544.6	1,561.3	1,998.2
EPS (US\$)	2.35	1.65	2.39	2.16	2.46	5.94	5.44	5.32	3.61	4.56	5.50	5.68	4.38	6.27	6.87	7.25	8.55	19.14	19.35	24.77
Key assumption																				
Capacity ('000 wafers, 12" equ)	1,298	1,322	1,364	1,412	1,439	1,466	1,490	1,532	1,547	1,583	1,634	1,691	1,691	1,739	1,769	1,799	5,397	5,928	6,456	6,999
Shipment ('000 wafers, 12" equ)	1,019	1,062	1,111	1,118	1,115	1,275	1,296	1,334	1,260	1,360	1,421	1,474	1,403	1,492	1,529	1,571	4,312	5,021	5,515	5,995
Shipment utilization (%)	78	80	81	79	77	87	87	87	81	86	87	87	83	86	86	87	80	85	85	86
Wafer ASP (US\$)	2,103	1,967	2,041	2,058	2,110	2,230	2,244	2,269	2,294	2,317	2,333	2,358	2,359	2,398	2,421	2,435	2,041	2,217	2,327	2,404
Margins (%)																				
Gross	22.5	20.4	22.0	19.2	20.1	25.3	26.0	25.2	22.4	24.2	25.8	25.8	23.9	26.6	27.2	27.9	21.0	24.4	24.6	26.5
Operating	13.8	6.8	14.7	12.0	9.9	17.8	17.1	16.1	13.2	14.3	16.3	15.8	13.8	16.8	17.5	17.8	11.9	15.5	15.0	16.6
EBITDA	52.3	46.6	56.6	55.0	53.3	58.1	57.8	57.1	59.4	57.7	57.1	55.7	56.8	55.6	54.4	54.2	52.8	56.7	57.4	55.2
Net	8.4	6.0	8.1	6.9	7.9	15.9	14.1	13.3	9.4	10.9	12.5	12.3	10.0	13.2	14.0	14.3	7.3	13.0	11.4	13.0
Growth (% Q/Q)																				
Shipment	15	4	5	1	0	14	2	3	-6	8	5	4	-5	6	2	3				
ASP	-9	-6	4	1	3	6	1	1	1	1	1	1	0	2	1	1				
Sales	2	-2	8	4	1	20	3	4	-4	9	5	5	-5	8	3	3				
Gross profit	1	-11	16	-9	5	51	6	1	-15	18	12	5	-12	20	6	6				
Operating profit	44	-51	133	-15	-17	116	-1	-2	-21	17	20	2	-17	32	8	5				
Net profit	75	-30	45	-10	14	143	-8	-2	-32	26	21	3	-23	43	9	6				
EPS	74	-30	45	-10	14	141	-8	-2	-32	26	21	3	-23	43	9	6				
Growth (% Y/Y)																				
Shipment	28	13	18	26	9	20	17	19	13	7	10	10	11	10	8	7	21	16	10	9
ASP	3	5	-6	-11	0	13	10	10	9	4	4	4	3	3	4	3	-3	9	5	3
Sales	28	16	10	13	11	36	31	30	23	12	14	15	15	14	12	10	16	27	16	12
Gross profit	111	70	18	-4	0	69	55	70	37	7	13	17	22	25	18	19	35	48	17	21
Operating profit	12767	73	107	39	-20	255	51	74	65	-10	9	13	19	34	20	24	134	65	12	24
Net profit	162	-19	29	61	5	262	129	148	48	-23	1	7	21	38	25	28	39	125	1	28
EPS	161	-20	28	60	5	259	127	146	47	-23	1	7	21	38	25	28	38	124	1	28

Note: We have removed the impact of profit from licensing revenue and one-off disposal gains in the recurring operating profit field for like to like comparison.

Source: SMIC, Quarterly Report, 1Q25-2Q26 and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

SMIC (*Neutral; Price Target: HK\$78.00*)

Investment Thesis

We rate the stock N given the favorable pricing environment amid tight supply fueled by strong AI-adjacent demand, for which SMIC is also expanding its 12” capacity. We believe AI-peripheral demand appears to be a sustainable driver for both revenue and margins in the coming quarters. However, we believe further margin upside could be capped by the rising depreciation burden, which is expected to outpace revenue growth in 2026/27. On the consumer side, while demand remains soft, 2H demand should be relatively stable rather than a severe digestion, as consumer customers are seeking to secure capacity for 2027 under tight supply.

Valuation

Our Jun-27 PT of HK\$78 is based on ~2.8x Price/Book (average of FY27-28E BVPS). This multiple reflects our concerns about lack of margin upside given a rising depreciation burden.

Risks to Rating and Price Target

Key upside risk include a stronger and more broad-based price hike if consumer demand recovers, or stronger leading edge growth driven by yield improvement.

Key downside risks include higher pricing pressure and worse-than expected customer demand.

SMIC (0981): Summary of Financials

Income Statement - Annual					Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E		1Q26A	2Q26A	3Q26E	4Q26E
Revenue	8,030	9,327	11,857	13,725	Revenue	2,505	3,006	3,110	3,236
COGS	(6,582)	(7,370)	(8,968)	(10,346)	COGS	(2,002)	(2,245)	(2,300)	(2,421)
Gross profit	1,448	1,957	2,889	3,379	Gross profit	504	761	809	815
SG&A	(620)	(569)	(630)	(813)	SG&A	(128)	(134)	(180)	(188)
Adj. EBITDA	3,697	4,920	6,727	7,875	Adj. EBITDA	1,336	1,746	1,797	1,848
D&A	(3,223)	(3,810)	(4,893)	(5,821)	D&A	(1,088)	(1,212)	(1,266)	(1,327)
Adj. EBIT	474	1,110	1,834	2,054	Adj. EBIT	248	534	531	521
Net Interest	249	25	(21)	32	Net Interest	(24)	(23)	14	12
Adj. PBT	860	1,073	2,208	2,224	Adj. PBT	255	810	577	565
Tax	(130)	(84)	(216)	(222)	Tax	(24)	(77)	(58)	(57)
Minority Interest	(237)	(304)	(447)	(440)	Minority Interest	(33)	(254)	(80)	(80)
Adj. Net Income	493	685	1,545	1,561	Adj. Net Income	197	479	439	429
Reported EPS	0.06	0.09	0.19	0.19	Reported EPS	0.02	0.06	0.05	0.05
Adj. EPS	0.06	0.09	0.19	0.19	Adj. EPS	0.02	0.06	0.05	0.05
DPS	0.00	0.00	0.00	0.00					
Payout ratio	0.0%	0.0%	0.0%	0.0%					
Shares outstanding	7,977	8,013	8,068	8,068	Shares outstanding	8,013	8,068	8,068	8,068
Balance Sheet & Cash Flow Statement					Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E		FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	6,430	5,876	6,550	7,446	Gross margin	18.0%	21.0%	24.4%	24.6%
Accounts receivable	840	1,433	1,844	2,118	EBITDA margin	46.0%	52.8%	56.7%	57.4%
Inventories	2,958	3,630	4,219	4,921	EBIT margin	5.9%	11.9%	15.5%	15.0%
Other current assets	4,555	4,686	4,699	4,739	Net profit margin	6.1%	7.3%	13.0%	11.4%
Current assets	14,784	15,625	17,313	19,224					
PP&E	28,145	31,633	35,745	36,924	ROE	2.4%	3.3%	6.5%	5.8%
LT investments	6,208	4,993	5,417	5,417	ROA	1.0%	1.4%	2.8%	2.6%
Other non current assets	24	20	24	24	ROCE	1.3%	3.1%	4.4%	4.4%
Total assets	49,161	52,271	58,498	61,588	SG&A/Sales	7.7%	6.1%	5.3%	5.9%
					Net debt/equity	0.1	0.2	0.2	0.2
Short term borrowings	2,926	2,593	5,150	5,150					
Payables	4,465	3,565	4,144	4,833	P/E (x)	146.1	105.5	47.1	46.6
Other short term liabilities	1,368	659	653	693	P/BV (x)	3.5	3.4	2.8	2.6
Current liabilities	8,760	6,817	9,947	10,676	EV/EBITDA (x)	23.6	18.7	13.7	11.7
Long-term debt	8,038	9,995	9,368	10,168	Dividend Yield	0.0%	0.0%	0.0%	0.0%
Other long term liabilities	494	439	458	458					
Total liabilities	17,292	17,251	19,773	21,302	Sales/Assets (x)	16.6%	18.4%	21.4%	22.9%
Shareholders' equity	20,614	21,440	26,017	27,579	Interest cover (x)	NM	NM	327.3	NM
Minority interests	11,256	13,581	12,708	12,708	Operating leverage	120.1%	831.0%	240.5%	76.1%
Total liabilities & equity	49,161	52,271	58,498	61,588					
BVPS	2.58	2.68	3.22	3.42	Revenue y/y Growth	27.0%	16.2%	27.1%	15.8%
y/y Growth	2.4%	3.5%	20.5%	6.0%	EBITDA y/y Growth	22.2%	33.1%	36.7%	17.1%
Net debt/(cash)	4,534	6,711	7,967	7,871	Tax rate	15.1%	7.9%	9.8%	10.0%
					Adj. Net Income y/y Growth	(45.4%)	39.0%	125.4%	1.1%
Cash flow from operating activities	2,245	1,794	6,444	7,536	EPS y/y Growth	(45.5%)	38.4%	123.9%	1.1%
o/w Depreciation & amortization	3,223	3,810	4,893	5,821	DPS y/y Growth	-	-	-	-
o/w Changes in working capital	(1,209)	(2,164)	(422)	(286)					
Cash flow from investing activities	(3,448)	(6,079)	(9,432)	(7,000)					
o/w Capital expenditure	(7,423)	(7,298)	(9,005)	(7,000)					
as % of sales	92.4%	78.2%	75.9%	51.0%					
Cash flow from financing activities	1,196	3,731	3,664	360					
o/w Dividends paid	0	0	0	0					
o/w Net debt issued/(repaid)	1,414	1,623	1,930	800					
Net change in cash	(7)	(554)	676	896					
Adj. Free cash flow to firm	(5,178)	(5,503)	(2,560)	536					
y/y Growth	359.8%	6.3%	(53.5%)	(120.9%)					

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to SMIC (0981) or related entities.
- **Market Maker/ Liquidity Provider (Hong Kong):** J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited and/or an affiliate is a market maker and/or liquidity provider in the securities of SMIC (0981) or related entities and/or warrants or options thereon, which are listed or traded on The Stock Exchange of Hong Kong Limited.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: SMIC (0981) or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: SMIC (0981) or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from SMIC (0981) or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of SMIC (0981) or related entities, if any.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

SMIC (0981) (0981.HK, 981 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Feb-24	N	15.34	16.5
11-May-24	N	16.26	18
09-Aug-24	N	15.80	19.5
08-Nov-24	N	28.25	24
13-Feb-25	UW	47.95	32
11-Aug-25	UW	48.66	36
17-Nov-25	UW	73.50	57
17-May-26	N	71.15	67

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 24, 2010. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Hariharan, Gokul : ASE Technology Holding Co Ltd (3711.TW), ASMPT Ltd (0522) (0522.HK), AirTAC (1590.TW), Alchip Technologies (3661.TW), Chipbond Technology (6147.TWO), GDS Holdings (GDS), GUC (3443.TW), Hiwin (2049.TW), Hon Hai Precision (2317.TW), MediaTek Inc. (2454.TW), Nien Made (8464.TW), Novatek Microelectronics Corp. (3034.TW), Powerchip Semiconductor Manufacturing Corp. (6770.TWO), SMIC (0981) (0981.HK), Silicon Motion (SIMO), Sinbon (3023.TW), TSMC (2330.TW), Teco Electric & Machinery (1504.TW), UMC (2303.TW), Vanguard International Semiconductor Corp. (5347.TWO), Voltron Power Technology (6409.TW), Xiaomi (1810) (1810.HK)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA")-

Central Bank of Argentina) and Comisión Nacional de Valores (“CNV”- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited (“JPMSAL”) (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to “wholesale clients” (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia’s Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE (“JPM SE”), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions (“EEA professional investors”). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai – 400098, is registered with the Securities and Exchange Board of India (SEBI) as a ‘Research Analyst’ having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number – INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpnipl.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasadh K, jpnipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpnipl.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPMML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries

(collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised July 04, 2026.

Copyright 2026 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any

third-party artificial intelligence (“AI”) systems or models when such J.P. Morgan Data is accessible by a third-party.